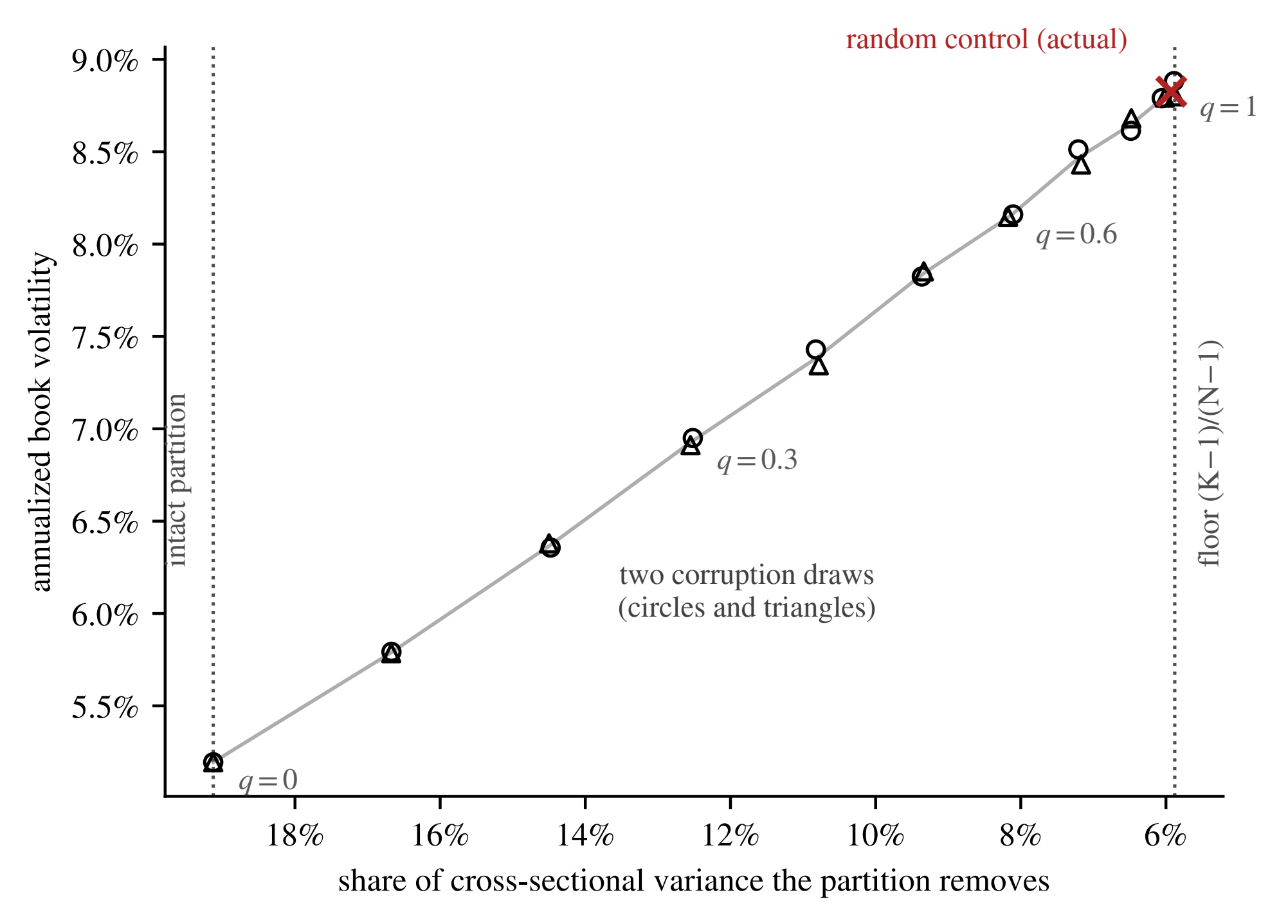
random control (actual)
9.0%
8.5%
8.0%
7.5%
7.0%
6.5%
6.0%
5.5%
annualized book volatility
intact partition
floor (K−1)/(N−1)
$q = 1$
$q = 0.6$
$q = 0.3$
$q = 0$
two corruption draws
(circles and triangles)
18%
16%
14%
12%
10%
8%
6%
share of cross-sectional variance the partition removes